STOCK PITCH · SYSTEMATIC VALUE PORTFOLIO · 29 OCTOBER 2026

Renault

Euronext Paris: RNO · Consumer Discretionary / Automobiles · France

The cash pile and the finance arm cover the market value: the car business comes almost free

OVERWEIGHT Medium-high conviction

Price	**€28.17**
Target (base case)	**€36.00**
Upside / downside	**+28%**
Horizon	**12-18 months**

Price: close, 29 Oct 2026

€7.7bn
Market cap

€6.6bn
Automotive net cash

4.3x
P/E 2026e (consensus)

7.8%
Dividend yield

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The cash pile and the finance arm cover the market value: the car business comes almost free

OVERWEIGHT

€36.00

base-case value, +28% vs €28.17

Renault trades at about €7.7bn while its car business holds €6.6bn of net cash and its captive bank earns roughly €1.5bn of operating profit a year. The market prices the 2026 margin trough as permanent; we think the reset is done and a product cycle is starting.

1 The balance sheet is the floor

Automotive net cash of €6.6bn at June 2026 equals about 86% of the market value. Mobilize Financial Services (the former RCI Banque) adds about €1.5bn of annual operating margin and pays dividends to the car business.

2 The reset is done

Guidance fell from at least 7% margin (early 2025) to about 5.5% for 2026. That guide was confirmed in February, July and October 2026, and the futuREady plan sets a 5-7% through-cycle band. Expectations are now low and credible.

3 A product cycle is starting

futuREady plans 36 launches by 2030 on a two-year development cycle. Clio VI, Boreal, Twingo E-Tech and Duster are already on sale, and Q3 2026 revenue beat consensus (+1.4% at constant FX versus −0.3% expected).

Renault at a glance

Automotive (~88% of revenue)

Renault, Dacia and Alpine brands; a volume player in European B and C segments, with Dacia as the low-cost brand. 52% of European sales were electrified in H1 2026.

Mobilize Financial Services (~12%)

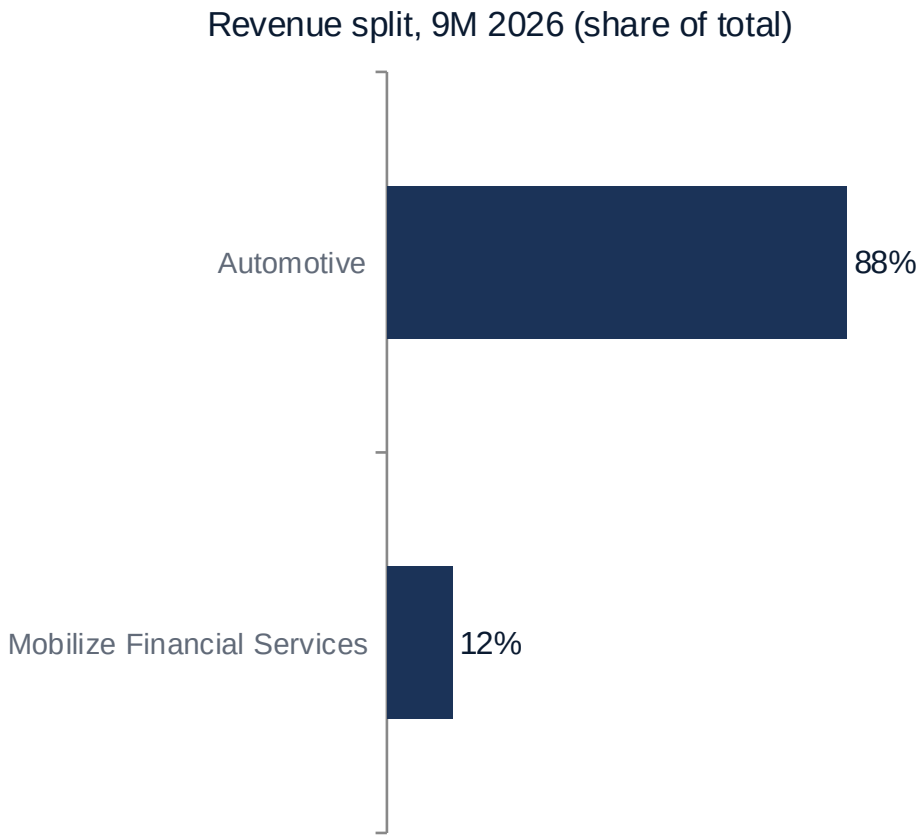
Captive car finance and leasing. Contributed €753m of operating margin in H1 2026 and pays dividends up to the car business (€250m in H1 2026, about €500m a year targeted).

Nissan stake

About 35% after the 2023-2025 Alliance restructuring, according to press reports. Carried at fair value through equity since June 2025.

Geography

No US sales, so US tariffs are a second-order risk. Growth markets are India, Turkey, Morocco and Brazil (Geely partnership in Brazil since September 2026).



Source: company filings; Revenue split, 9M 2026

What moves the stock beyond the company

–6.0%

European car demand

Group volumes in Q3 2026. European demand is flat and Chinese brands are gaining share in the low-cost segment where Dacia plays.

Middle East

Input costs

The 2026 Middle East conflict lifted raw-material, energy and logistics costs; management expects H2 margin only slightly above H1.

25.8%

EV transition

Share of electric cars in Q3 2026 passenger-car sales. EU CO2 rules force the mix shift and compress pricing.

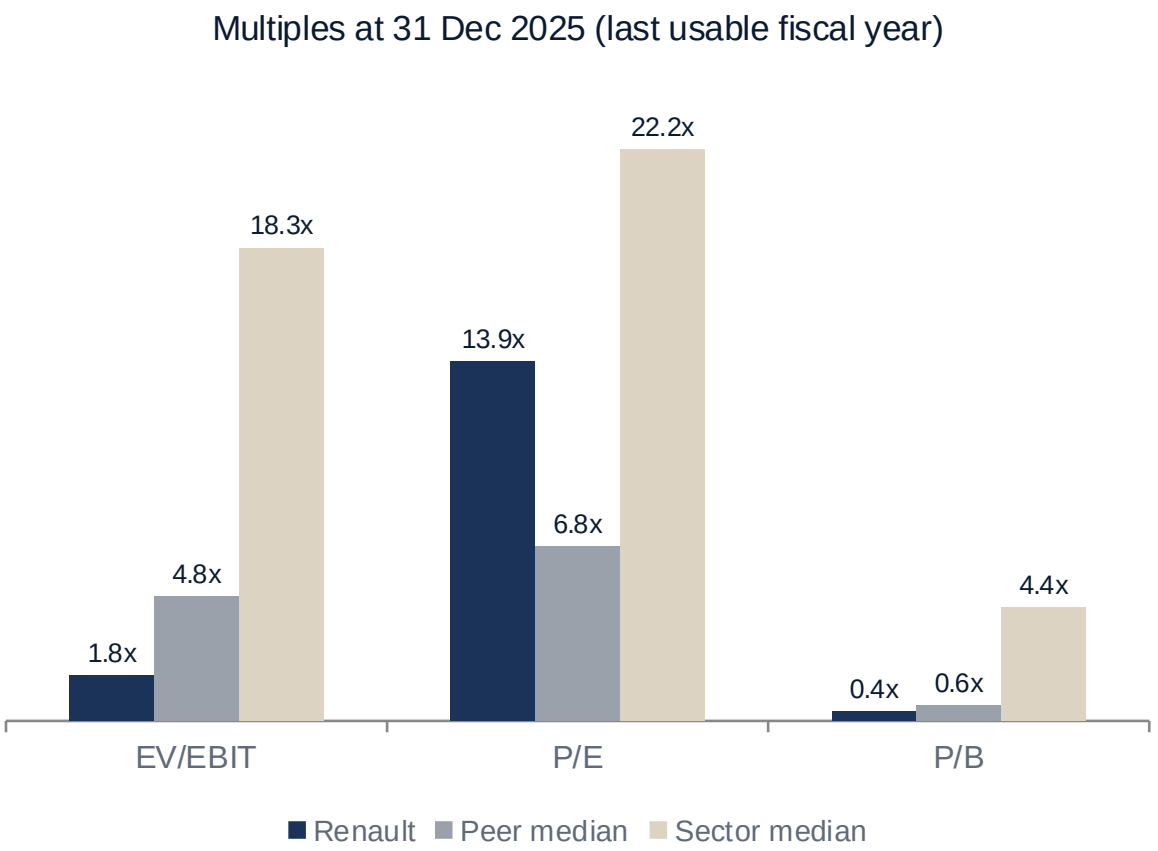
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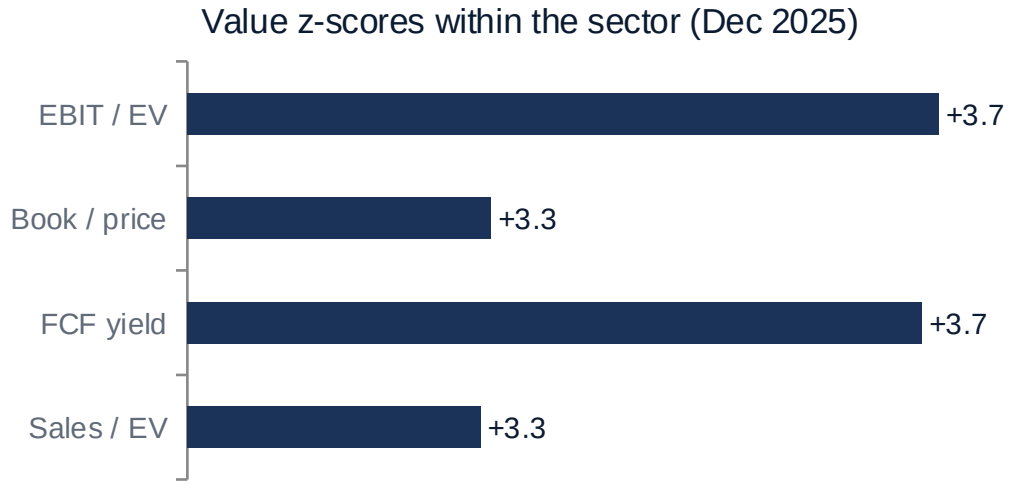
Rates and credit

Investment-grade rating (S&P, Dec 2025) lowers funding cost for Mobilize, whose margin depends on rates and used-car prices.

Source: company releases and research brief (see Sources slide)

Ranked 1 of 102 in Consumer Discretionary on our value score

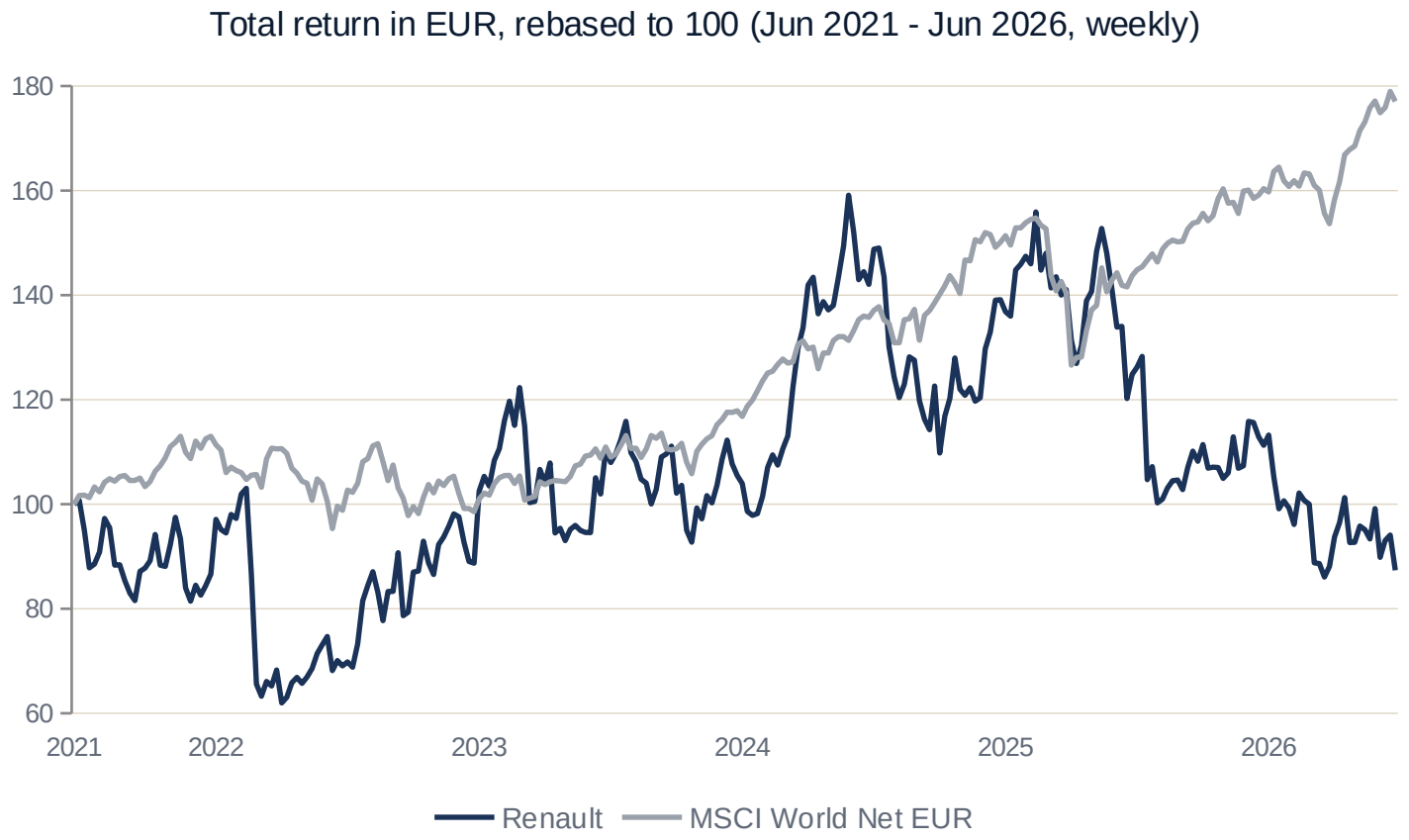




Composite score 3.48, first of 102 in its sector. The score averages the z-scores above (four ratios as yields). Accounts are used only from fiscal year end + 6 months, so in December 2025 the screen read the accounts for the fiscal year ended December 2024.

Source: Portfolio Project pipeline (Bloomberg data); peers: Stellantis, Volkswagen, Mercedes-Benz, BMW, Toyota, Honda (pipeline peer set, December 2025).

Held at 7 of 10 rebalances since June 2021



−24.3%

H1 2026 return (EUR)

+10.8%

MSCI World Net EUR, H1 2026

2.0%

Weight, equal weight

0.5% / 0.5%

Min-variance / mean-variance

Source: pipeline weekly total returns (EUR, net of withholding tax) and portfolio weights at the 31 Dec 2025 rebalance

Reported numbers and guidance

	FY2024	FY2025	H1 2026	2026 guide
Group revenue	€56.2bn	€57.9bn	€30.3bn	—
Group operating margin	7.6%	6.3%	5.2%	~5.5%
Net income, group share	€0.75bn	−€10.9bn*	€0.7bn	—
Automotive free cash flow	—	€1.5bn	€0.65bn	~€1.0bn
Automotive net cash (period end)	—	€7.3bn	€6.6bn	—
Dividend per share	—	€2.20	—	—

*Includes a €9.3bn non-cash loss on the Nissan stake. FY2024 revenue derived from the +3.0% growth reported for 2025. Sources: Renault FY2025 and H1 2026 releases.

07 VARIANT PERCEPTION

Where we differ from the market

WHAT THE MARKET BELIEVES	OUR VIEW
“Chinese competition will crush margins”	Volumes are under pressure, but pricing and mix held. The plan cuts variable cost by about €400 per car a year and development time to two years.
“The cash is trapped and will be burnt”	The car business generated €1.5bn of free cash flow in 2025, S&P upgraded Renault to investment grade (BBB−) in December 2025, and the €2.20 dividend was paid from that cash.
“Management keeps cutting guidance”	The new CEO reset targets once, in July 2025. The 2026 guide has since been confirmed three times.
“Nissan is a black hole”	The stake was written down by €9.3bn in 2025. Our valuation gives it no value, so any monetisation is upside.

Base-case value €36.00 per share, +28% vs today

Method: P/E on 2027 earnings, cross-checked with a sum of the parts

Scenario	Key inputs	Value / share	vs price
Bear	EPS €4.00 × 5x Margin falls below the 5% floor; Chinese price war	**€20.00**	**−29%**
Base	EPS €6.00 × 6x Margin holds around 5.5-6%; dividend maintained	**€36.00**	**+28%**
Bull	EPS €7.00 × 7x futuREady savings land; margin back above 6.5%	**€49.00**	**+74%**

We value Renault on 2027 earnings per share at a single-digit P/E, the range European volume carmakers have traded in through the cycle. Consensus implies about €6.6 of 2026 EPS (price / 4.3x); we use €6.0 in the base case to stay below the street. The sum of the parts is a sanity check, not the target.

Valuation range



Source: own valuation; 52-week range and consensus from third-party data (29 Oct 2026)

What could move the stock in the next 12-18 months

Nov-Dec 2026

New Megane E-Tech, Dacia Striker, Sandero hybrid and New Spring launches

Year-end 2026

Inventory back to 525-550k vehicles; free cash flow delivered against the €1.0bn guide

Feb 2027

FY2026 results, dividend proposal, first year of futuREady savings

2026-2027

Mobilize dividends ramping toward €500m a year; any Nissan stake monetisation

Jul 2027

H1 2027 results: first full read of the cost programme

The number to watch: 2026 operating margin below 5%, or automotive FCF well below €1bn

Risks, mitigants and what would make us sell

Risk	Mitigant
European price war with Chinese brands	Dacia's cost position; plan cuts €400 of variable cost per car a year
Raw-material and energy inflation	Pricing power held in 2026; costs partly passed through
Execution of futuREady	Two-year development cycle already used on 2026 launches
Mobilize credit risk if used-car prices fall	Investment-grade funding; diversified retail book

WE SELL IF

- 2026 operating margin below 5%, or automotive FCF well below €1bn
- Automotive net cash below €5bn without a clear use
- Another guidance cut at the February 2027 results, or a dividend cut

Sources

[S1] Renault Group, "H1 2026 results" press release, 29/07/2026, via MFN/GlobeNewswire

[S2] Renault Group, "Renault Group delivers resilient Q3 revenue and confirms its 2026 financial guidance", 29/10/2026

[S3] Ideal Investisseur, summary of Renault FY2025 results, 19/02/2026

[S4] NewMobility News, "Renault's good results overshadowed by recalculation of participation in Nissan", 19/02/2026

[S5] Profit warning and CEO change: Invezz, 16/07/2025

[S6] Renault Group, "Renault Group launches futuREady, opening a new strategic era", 10/03/2026

[S7] Investing.com via Yahoo Finance, "Renault revenue beats estimates as automaker reaffirms 2026 outlook", 29/10/2026

[S8] MarketScreener, Renault finances/consensus page, data 29/10/2026

[S9] StockAnalysis, Renault statistics, data 29/10/2026

[S10] ad-hoc-news, "Renault reports Q3 growth. Renault stock is valued at EUR 8.1 billion", 29/10/2026

Portfolio Project pipeline: scores, multiples, weights and returns computed from Bloomberg data extracted on the SKEMA terminal (Oct 2026).

Disclosure: student research prepared for educational purposes and job interviews. It is not investment advice or a solicitation. Third-party market data (prices, consensus, forward multiples) is labelled and was accessed on 29 October 2026; third-party figures should be checked against company filings or a Bloomberg terminal before use. Backtest results are hypothetical.